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STAFF REPORT FOR THE 2014 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS

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Myanmar is assessed to be at low risk of debt distress, following the clearance of its external arrears in 2013/14 with the Paris Club creditors.[1,2,3] Under the baseline scenario, public and publicly guaranteed (PPG) external debt burden indicators remain well below their indicative thresholds. Similarly, under the baseline scenario, total public debt will also remain below the benchmark. However, shocks lead to the indicative benchmark for the present value of total public debt being exceeded. While Myanmar's risk of debt distress can be characterized as low, it requires close monitoring, in particular because the level of total public debt is close to the benchmark. Preventing total public debt vulnerability from increasing will require prudent fiscal policy, improvements in tax policy and public financial management and increasing use of concessional finance while limiting nonconcessional borrowing to only viable and growth-enhancing projects.

[1] External public and publicly guaranteed (PPG) debt and public domestic debt dynamics are assessed using the low-income countries debt sustainability framework, which recognizes that better policies and institutions allow countries to manage higher levels of debt, and thus the threshold levels are policy-dependent. The quality of a country's policies and institutions are normally measured by the World Bank's Country Policy and Institutional Assessment (CPIA). Since Myanmar does not currently have a CPIA rating, the most conservative thresholds are applied for the purposes of this debt sustainability assessment (DSA). The current DSA framework uses the 5 percent discount rate specified in the new guidance note.

[2] The DSA was jointly prepared by the IMF and the World Bank in consultation with the Asian Development Bank.

[3] This risk rating is unchanged from the previous DSA which had assumed that the resolution of the external arrears would be completed as planned.

BACKGROUND

1. The update of the external and public debt sustainability analyses are based on the standard low-income countries DSA framework. The DSA framework presents the projected path of Myanmar's external and public sector debt burden indicators, and draws conclusions on the sustainability of debt.

2. The macroeconomic assumptions remain broadly unchanged compared with the last DSA but updates have been made, with recent developments taken into account. The medium-term GDP growth rate has been revised upward to 8.1 percent, reflecting the better than anticipated GDP growth performance in 2013/14 (8¼ percent) which is expected to continue in the medium term, given robust investment in productive sectors including manufacturing in special export zones.[4] However, growth has been revised slightly downward over the longer term, taking into account the new growth diagnostics conducted for Myanmar. Several windfall gains, such as revenues from telecommunication and bank licenses that are spread over a few years, have also caused a revision to the fiscal deficit. The fiscal deficit is expected to improve compared to last DSA both in the medium and long term.

Key Macroeconomic Assumptions Underlying the DSA for the Baseline Scenario (FY2014/15–34/35)

	Current DSA		Previous DSA	
	Medium Term	Long Term	Medium Term	Long Term
	2014/15–2019/20	2020/21–2034/35	2013/14–2018/19	2019/20–2033/34
Real GDP Growth (in percent)	8.1	6.6	7.8	7.4
Inflation (in percent)	6.3	4	6.2	3.8
Overall fiscal balance (in percent of GDP)	-4.6	-3.8	-4.8	-4.2
Noninterest current account (in percent of GDP)	-4.7	-3.3	-4.5	-4.6
Revenue (nonfinancial public sector; in percent of GDP)	24	25	23	24.3

Sources: IMF staff estimates

3. The current DSA incorporates the resolution of Myanmar's arrears with its multilateral and bilateral creditors completed in 2013/14. In late-January 2013, the Paris Club reached an agreement with the Myanmar authorities on a debt treatment to be completed in early 2014. Paris Club members agreed to write off 50 percent of all arrears and reschedule the remaining arrears over 15 years with a 7-year grace period. The treatment was phased, with 25 percent of the written-off occurring immediately and 75 percent on the successful completion of a staff-monitored program with the IMF.[5] Furthermore, Myanmar resolved its arrears to the World Bank and the Asian Development Bank in January 2013, with the help of bridge financing from Japan.

4. As in the previous DSA, Myanmar is expected to gradually reduce its reliance on external nonconcessional financing. With the resolution of its arrears and the re-engagement with the international community, Myanmar is expected to gradually regain access to concessional resources. As donors re-

[4] The staffs of the World Bank and the IMF, while strong supporters of the overall reform effort, note that there is significant uncertainty surrounding the growth projections, given that the reform program has only begun recently and data and capacity constraints are significant.

[5] Myanmar has signed bilateral agreements with all eleven Paris Club creditors. Japan, Norway, Denmark, Canada, and Italy have provided a more generous treatment than agreed in the Paris Club minutes.

engage with Myanmar, and gradually identify suitable projects, the share of nonconcessional financing is expected to decline.

DEBT SUSTAINABILITY ANALYSIS

5. Successful completion of the resolution of the arrears in 2013/14 has ensured that all external debt indicators are below their indicative thresholds. Furthermore, standard stress tests indicate that no thresholds will be breached.[6] To maintain external debt below the threshold, continued strong performance of the external sector is critical, including by maintaining high export growth, attracting foreign direct investment (FDI) to fund investment projects and obtaining more concessional financing.

6. Total public sector debt will also remain below the indicative benchmark under the baseline scenario but is vulnerable to shocks. The present value of total public debt as a percentage of GDP remains below the indicative benchmark in the medium term. This trajectory reflects the significant development needs of Myanmar and the associated overall fiscal deficits assumed in the baseline scenario. It also underscores the need to limit the share of nonconcessional financing as is assumed in the baseline scenario. However, this level of debt can give rise to vulnerabilities including a high debt service burden. Overall, public debt sustainability is vulnerable to lower real GDP growth, and fiscal slippages. Risks are somewhat mitigated as the authorities aim to use their borrowing to only finance economically viable projects in priority sectors.

7. Myanmar continues to face fiscal risks. Public finances are dependent on state-owned economic enterprises (SEEs) and natural resource revenues. Tax revenues are very low and the tax base remains narrow, in part due to widespread exemptions. Recent off-budget external non-concessional borrowing and guarantees for policy banks[7] and microfinance pose risks to debt control and complicate fiscal management. Increases in transfers to subnational governments without effective budget constraints on subnational governments could be a drain on government resources as a whole. Moreover, reforms that separate SEEs from the budget could trigger contingent liabilities and would reduce a critical source of budget funding.

8. Several steps can be taken to mitigate against fiscal risks. Higher revenue is needed to provide a solid foundation for financing development. To this end, introducing a value added tax (VAT) is a key step. Fiscal decentralization and reform of SEE finances need to be carefully planned and implemented. Off-budget borrowing needs to be strictly limited and reported to the legislature alongside the budget. Strong capital inflows, such as one-off revenues from oil and gas exploration, can also ease budget constraints in the short-term.

[6] The typical historical scenario is not shown in this analysis. In the case of Myanmar, the historical scenario would imply an unlikely return to pre-reform policies: low noninterest current account deficits (consistent with binding international sanctions) and sustained real exchange rate pressures.

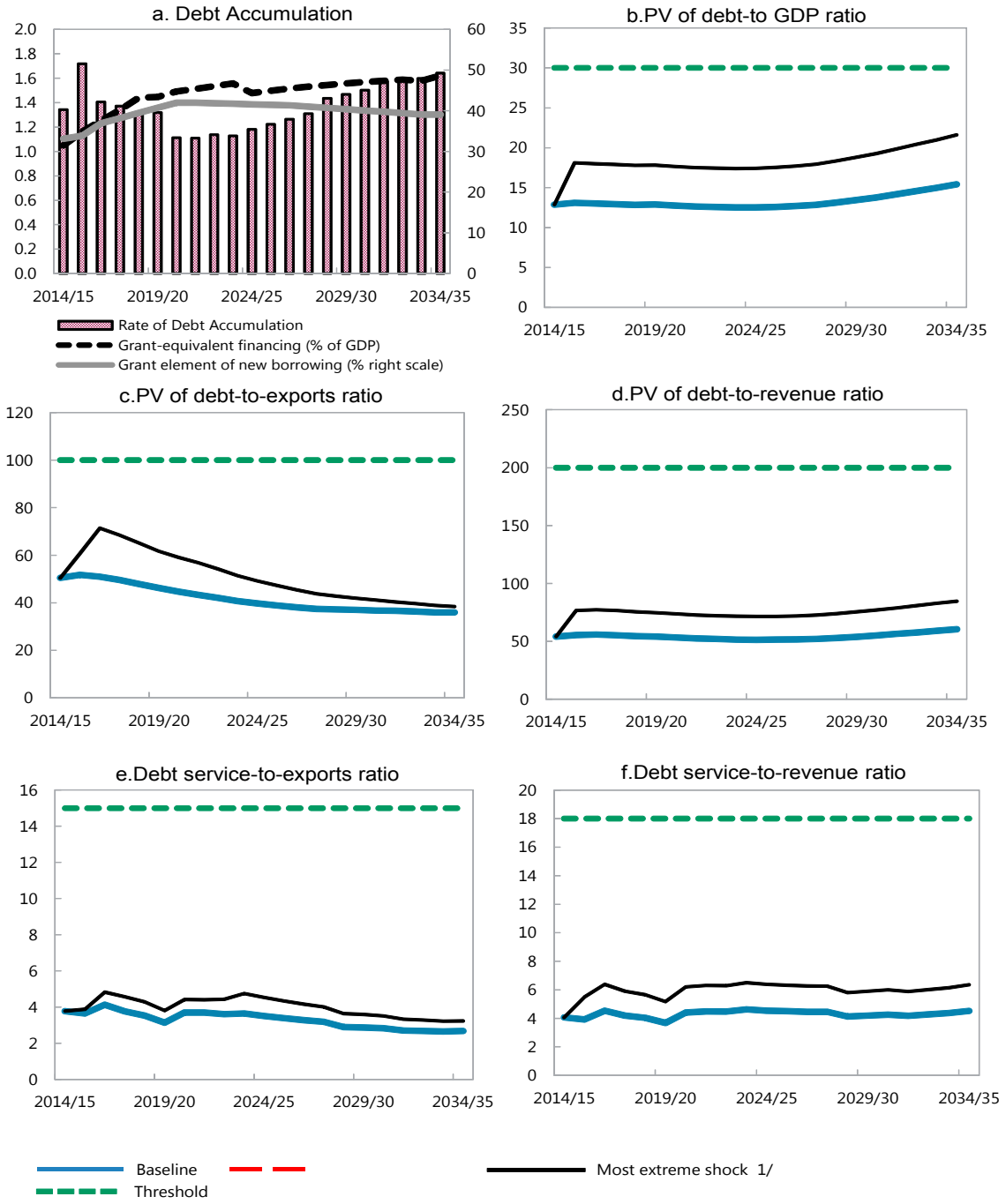
[7] Policy banks in Myanmar are financial institutions in which the government has an ownership stake and which carry out functions that are associated with policies of the government.

STAFF ASSESSMENT

9. Myanmar is assessed to be at low risk of debt distress, following the resolution of its external arrears in 2013/14. Under the baseline scenario, which incorporates the resolution of all arrears in 2013/14 as agreed with the Paris Club, all indicators for the external debt are below their indicative thresholds. Under the baseline scenario, the total public debt also remains below the benchmark although it is vulnerable to fiscal slippages and low real GDP growth. Preventing total public debt vulnerability from increasing will require continuation of the current prudent fiscal policy, improvements in tax policy and public financial management and increasing use of concessional finance.

10. The authorities broadly agreed with these conclusions and with the thrust of the analysis. They concurred with staff on the need to be cautious on nonconcessional borrowing and reconfirmed their intention to use nonconcessional external borrowing only to finance economically viable projects in priority sectors, at levels consistent with low risk of debt distress. The authorities reiterated their aim to keep the fiscal deficit below 5 percent of GDP over the medium term.

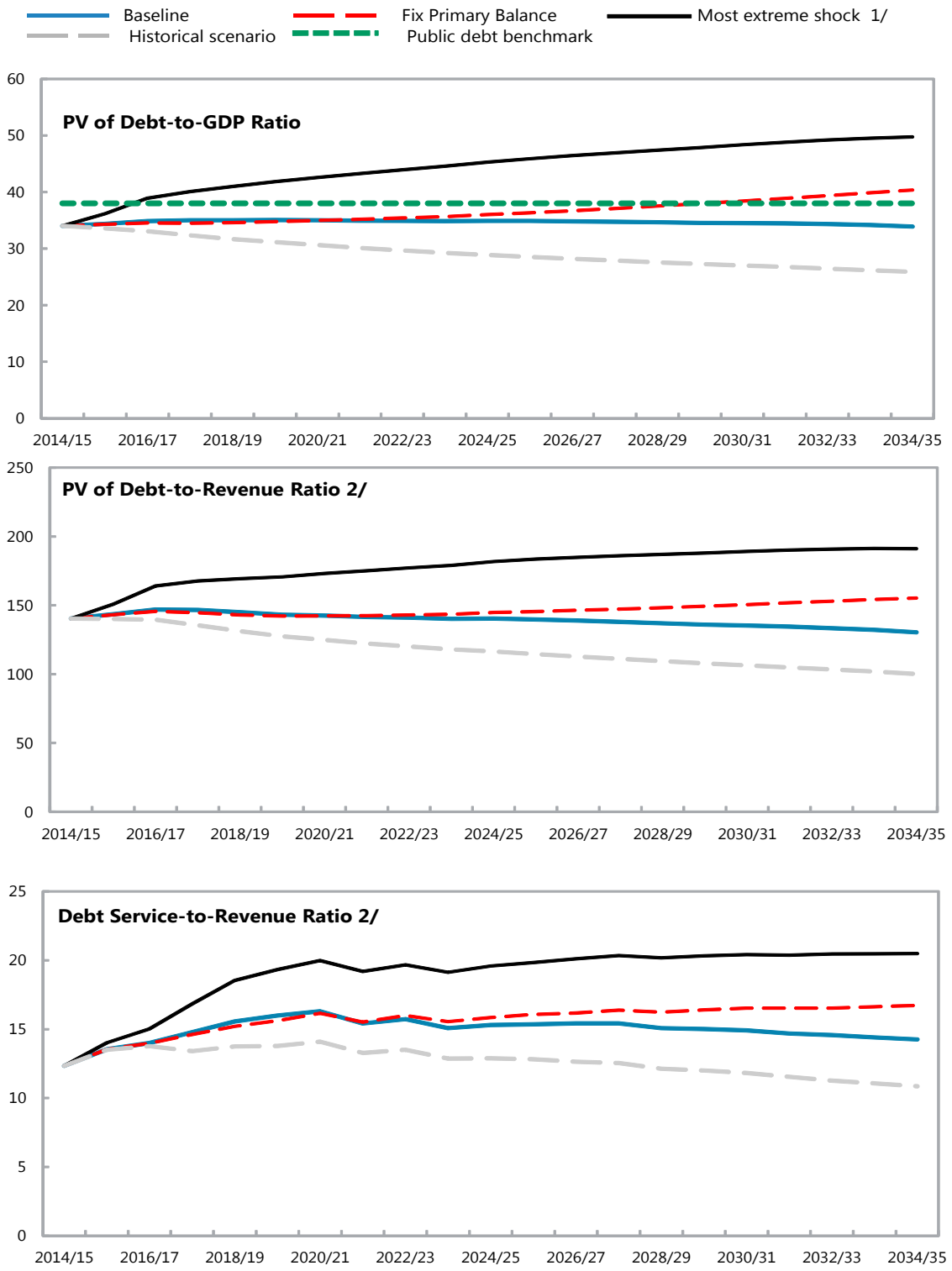
Figure 1. Myanmar: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2014/15–2034/35 1/



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2024/25. In figure b. it corresponds to a one-time depreciation shock; in c. to an export shock; in d. to a one-time depreciation shock; in e. to an export shock and in figure f. to a one-time depreciation shock.

Figure 2. Myanmar: Indicators of Public Debt Under Alternative Scenarios, 2014/15–2034/35 1/



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2024.
2/ Revenues are defined inclusive of grants.

Table 1a. Myanmar: External Debt Sustainability Framework, Baseline Scenario, 2011/12–2034/35 1/

(In percent of GDP, unless otherwise indicated)

	Actual			Historical 2/	Standard 2/	Projections									
												2014/15–2019/20			2020/21–2034/35
	2011/12	2012/13	2013/14			2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	Average	2024/25	2034/35	Average
External debt (nominal) 1/	**27.3**	**24.6**	**19.2**			**18.2**	**18.2**	**18.2**	**18.2**	**18.1**	**18.2**		**18.6**	**23.3**	
of which: public and publicly guaranteed (PPG)	27.3	24.6	19.2			18.2	18.2	18.2	18.2	18.1	18.2		18.6	23.3	
Change in external debt	-1.6	-2.7	-5.4			-1.0	0.0	-0.1	0.0	0.0	0.1		0.2	0.6	
Identified net debt-creating flows	-5.1	-0.5	0.4			-1.2	-1.4	-1.4	-1.4	-1.7	-2.0		-2.7	-3.3	
Non-interest current account deficit	**1.0**	**4.1**	**5.1**	**-0.5**	**4.6**	**5.0**	**4.9**	**4.8**	**4.7**	**4.4**	**4.3**		**3.7**	**2.5**	3.3
Deficit in balance of goods and services	1.3	3.9	4.8			3.8	4.3	4.4	4.4	5.1	5.3		4.9	3.9	
Exports	19.6	20.7	24.3			25.5	25.3	25.5	26.1	26.8	27.9		31.5	43.0	
Imports	20.9	24.7	29.1			29.3	29.6	29.9	30.5	31.9	33.2		36.4	46.8	
Net current transfers (negative = inflow)	-0.9	-1.0	-1.6	-1.0	0.3	-1.7	-1.7	-1.9	-2.1	-2.3	-2.3		-2.2	-2.2	-2.2
of which: official	-0.1	-0.1	-0.4			-0.4	-0.4	-0.4	-0.5	-0.6	-0.6		-0.5	-0.5	
Other current account flows (negative = net inflow)	0.6	1.2	1.9			2.9	2.4	2.3	2.4	1.6	1.3		1.1	0.8	
Net FDI (negative = inflow)	**-3.7**	**-5.0**	**-4.6**	**-3.3**	**1.1**	**-5.1**	**-5.2**	**-5.2**	**-5.1**	**-5.2**	**-5.3**		**-5.5**	**-5.0**	-5.3
Endogenous debt dynamics 3/	**-2.4**	**0.4**	**0.0**			**-1.1**	**-1.0**	**-1.0**	**-1.0**	**-0.9**	**-0.9**		**-0.9**	**-0.8**	
Contribution from nominal interest rate	1.0	0.2	0.4			0.3	0.3	0.3	0.3	0.3	0.3		0.3	0.3	
Contribution from real GDP growth	-1.5	-2.0	-2.0			-1.4	-1.4	-1.3	-1.3	-1.3	-1.2		-1.2	-1.2	
Contribution from price and exchange rate changes	-1.9	2.2	1.6			...	...	...	...	...	...		...	...	
Residual (3-4) 4/	**3.4**	**-2.2**	**-5.8**			**0.2**	**1.4**	**1.3**	**1.4**	**1.7**	**2.0**		**2.9**	**3.9**	
of which: exceptional financing	0.0	-10.9	-8.4			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 5/	...	...	13.4			12.9	13.1	13.0	12.9	12.8	12.9		12.5	15.4	
In percent of exports	...	...	55.0			50.5	51.7	51.0	49.7	47.9	46.2		39.8	35.9	
PV of PPG external debt	**...**	**...**	**13.4**			**12.9**	**13.1**	**13.0**	**12.9**	**12.8**	**12.9**		**12.5**	**15.4**	
In percent of exports	**...**	**...**	**55.0**			**50.5**	**51.7**	**51.0**	**49.7**	**47.9**	**46.2**		**39.8**	**35.9**	
In percent of government revenues	**...**	**...**	**54.4**			**54.1**	**55.5**	**55.8**	**55.4**	**54.5**	**54.0**		**51.4**	**60.5**	
Debt service-to-exports ratio (in percent)	**10.5**	**2.2**	**3.1**			**3.8**	**3.7**	**4.1**	**3.8**	**3.5**	**3.1**		**3.5**	**2.7**	
PPG debt service-to-exports ratio (in percent)	**10.5**	**2.2**	**3.1**			**3.8**	**3.7**	**4.1**	**3.8**	**3.5**	**3.1**		**3.5**	**2.7**	
PPG debt service-to-revenue ratio (in percent)	**17.2**	**2.0**	**3.0**			**4.1**	**3.9**	**4.5**	**4.2**	**4.0**	**3.7**		**4.5**	**4.5**	
Total gross financing need (Billions of U.S. dollars)	-0.2	-0.1	0.8			0.8	0.6	0.8	0.8	0.4	0.1		-0.8	-4.4	
Non-interest current account deficit that stabilizes debt ratio	2.6	6.8	10.5			6.1	4.9	4.9	4.7	4.5	4.2		3.5	1.9	
Key macroeconomic assumptions															
Real GDP growth (in percent)	5.9	7.3	8.3	8.8	3.9	8.5	8.5	8.2	8.0	7.7	7.6	8.1	7.0	5.5	6.6
GDP deflator in US dollar terms (change in percent)	6.9	-7.5	-6.0	8.5	17.1	6.0	3.9	3.1	3.0	3.0	2.5	3.6	2.2	2.2	2.2
Effective interest rate (percent) 6/	3.9	0.6	1.6	1.8	0.9	2.0	2.0	2.0	2.0	1.9	1.9	2.0	1.7	1.5	1.6
Growth of exports of G&S (US dollar terms, in percent)	16.9	5.1	19.3	16.9	12.1	20.8	11.8	12.6	13.5	14.2	14.8	14.6	12.0	11.3	12.1
Growth of imports of G&S (US dollar terms, in percent)	28.7	17.3	20.2	21.7	23.0	15.8	13.8	12.9	13.3	16.3	14.8	14.5	11.0	11.0	11.4
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	33.1	33.9	36.9	38.2	39.5	40.7	37.0	41.6	39.1	40.8
Government revenues (excluding grants, in percent of GDP)	12.0	23.3	24.6			23.8	23.6	23.3	23.4	23.6	23.9		24.4	25.5	24.7
Aid flows (in Billions of US dollars) 7/	0.0	0.0	0.1			0.4	0.5	0.8	1.1	1.4	1.6		2.7	6.1	
of which: Grants	0.0	0.0	0.1			0.3	0.3	0.3	0.5	0.6	0.7		0.9	2.0	
of which: Concessional loans	0.0	0.0	0.0			0.1	0.2	0.5	0.6	0.8	0.9		1.8	4.1	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			1.1	1.2	1.3	1.3	1.4	1.4		1.5	1.6	1.5
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			46.1	42.3	46.3	49.6	52.8	54.0		51.8	48.1	51.1
Memorandum items:															
Nominal GDP (Billions of US dollars)	56.2	55.8	56.8			65.3	73.6	82.2	91.4	101.5	111.9		176.7	400.6	
Nominal dollar GDP growth	13.2	-0.7	1.8			15.0	12.8	11.6	11.2	11.0	10.3	12.0	9.3	7.8	8.9
PV of PPG external debt (in Billions of US dollars)			7.6			8.4	9.5	10.5	11.6	12.8	14.2		21.9	61.5	
(PVt-PVt-1)/GDPt-1 (in percent)						1.3	1.7	1.4	1.4	1.3	1.3	1.4	1.2	1.6	1.4
Gross workers' remittances (Billions of US dollars)	0.4	0.5	0.7			0.9	1.0	1.2	1.5	1.7	2.0		3.1	6.6	
PV of PPG external debt (in percent of GDP + remittances)	...	...	13.2			12.7	12.9	12.8	12.7	12.6	12.7		12.3	15.2	
PV of PPG external debt (in percent of exports + remittances)	...	...	52.4			48.0	49.0	48.1	46.8	45.1	43.5		37.7	34.6	
Debt service of PPG external debt (in percent of exports + remittances)	...	...	2.9			3.6	3.5	3.9	3.5	3.3	3.0		3.3	2.6	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.
2/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.
3/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
4/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
5/ Assumes that PV of private sector debt is equivalent to its face value.
6/ Current-year interest payments divided by previous period debt stock.
7/ Defined as grants, concessional loans, and debt relief.
8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Table 1b. Myanmar: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2014/15–2034/35

(In percent)

	Projections							
	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	**2024/25**	2034/35
PV of debt-to GDP ratio								
Baseline	13	13	13	13	13	13	**13**	15
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014–2034 1/	13	10	8	6	4	2	**-1**	2
A2. New public sector loans on less favorable terms in 2014–2034 2/	13	13	14	14	15	15	**17**	23
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015–2016	13	13	14	14	14	14	**13**	16
B2. Export value growth at historical average minus one standard deviation in 2015–2016 3/	13	14	16	15	15	15	**14**	16
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015–2016	13	15	16	16	16	16	**16**	20
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015–2016 4/	13	15	18	17	17	17	**15**	16
B5. Combination of B1–B4 using one-half standard deviation shocks	13	16	20	19	19	19	**17**	18
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	13	18	18	18	18	18	**17**	22
PV of debt-to-exports ratio								
Baseline	50	52	51	50	48	46	**40**	36
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014–2034 1/	50	41	31	21	14	9	**-3**	4
A2. New public sector loans on less favorable terms in 2014–2034 2/	50	53	54	55	54	54	**53**	54
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015–2016	50	51	50	49	47	45	**39**	36
B2. Export value growth at historical average minus one standard deviation in 2015–2016 3/	50	58	70	68	65	62	**51**	42
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015–2016	50	51	50	49	47	45	**39**	36
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015–2016 4/	50	61	70	67	64	61	**48**	38
B5. Combination of B1–B4 using one-half standard deviation shocks	50	61	71	68	65	62	**49**	38
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	50	51	50	49	47	45	**39**	36
PV of debt-to-revenue ratio								
Baseline	54	55	56	55	54	54	**51**	60
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014–2034 1/	54	44	34	24	16	10	**-4**	7
A2. New public sector loans on less favorable terms in 2014–2034 2/	54	57	59	61	62	63	**68**	91
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015–2016	54	56	59	58	57	57	**54**	64
B2. Export value growth at historical average minus one standard deviation in 2015–2016 3/	54	59	67	66	65	63	**58**	62
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015–2016	54	62	70	70	69	68	**65**	77
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015–2016 4/	54	66	77	75	73	71	**62**	63
B5. Combination of B1–B4 using one-half standard deviation shocks	54	68	84	82	80	78	**69**	70
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	54	77	77	77	76	75	**71**	85

Table 1b. Myanmar: Sensitivity Analysis for Key Indicators of Public and Publicly Guranteed External Debt, 2014/15-2034/35 (concluded)

(In percent)

	Projections							
	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	**2024/25**	2034/35
Debt service-to-exports ratio								
Baseline	4	4	4	4	4	3	**4**	3
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014–2034 1/	4	3	4	3	2	2	**1**	0
A2. New public sector loans on less favorable terms in 2014–2034 2/	4	4	4	4	4	4	**4**	4
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015–2016	4	4	4	4	4	3	**4**	3
B2. Export value growth at historical average minus one standard deviation in 2015–2016 3/	4	4	5	5	4	4	**5**	3
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015–2016	4	4	4	4	4	3	**4**	3
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015–2016 4/	4	4	4	4	4	3	**4**	3
B5. Combination of B1–B4 using one-half standard deviation shocks	4	4	4	4	4	4	**4**	3
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	4	4	4	4	4	3	**4**	3
Debt service-to-revenue ratio								
Baseline	4	4	5	4	4	4	**5**	5
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2014–2034 1/	4	4	4	3	3	2	**1**	0
A2. New public sector loans on less favorable terms in 2014–2034 2/	4	4	5	4	4	4	**6**	7
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2015–2016	4	4	5	4	4	4	**5**	5
B2. Export value growth at historical average minus one standard deviation in 2015–2016 3/	4	4	5	4	4	4	**5**	5
B3. US dollar GDP deflator at historical average minus one standard deviation in 2015–2016	4	4	6	5	5	5	**6**	6
B4. Net non-debt creating flows at historical average minus one standard deviation in 2015–2016 4/	4	4	5	5	4	4	**6**	5
B5. Combination of B1–B4 using one-half standard deviation shocks	4	4	5	5	5	4	**6**	5
B6. One-time 30 percent nominal depreciation relative to the baseline in 2015 5/	4	6	6	6	6	5	**6**	6
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	38	38	38	38	38	38	**38**	38

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

Table 2a. Myanmar: Public Sector Debt Sustainability Framework, Baseline Scenario, 2011/12–2034/35

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2011/12	2012/13	2013/14	Average 1/	Standard Deviation 1/	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2014/15 –2019/20 Average	2024/25	2034/35	2020/21 –2034/35 Average
Public sector debt 2/	49.4	48.0	39.8			39.5	39.8	40.3	40.5	40.6	40.6		41.2	41.9	
of which: foreign-currency denominated	26.7	25.2	19.2			18.3	18.5	18.5	18.4	18.4	18.5		18.8	23.4	
Change in public sector debt	-0.2	-1.4	-8.3			-0.3	0.4	0.5	0.2	0.1	0.1		0.2	-0.1	
Identified debt-creating flows	-1.6	2.9	-2.3			-0.7	-0.1	0.1	0.1	0.0	0.1		0.2	-0.2	
Primary deficit	2.5	2.2	0.0	2.0	1.1	2.9	3.0	3.2	3.2	2.9	2.7	3.0	2.4	1.4	2.1
Revenue and grants	12.0	23.3	24.8			24.2	24.0	23.7	23.9	24.2	24.5		24.9	26.0	
of which: grants	0.0	0.1	0.2			0.4	0.4	0.4	0.5	0.6	0.6		0.5	0.5	
Primary (noninterest) expenditure	14.5	25.5	24.8			27.1	27.0	26.9	27.1	27.1	27.2		27.3	27.4	
Automatic debt dynamics	-3.1	0.6	-2.3			-3.6	-3.1	-3.1	-3.0	-2.9	-2.7		-2.2	-1.6	
Contribution from interest rate/growth differential	-1.8	-3.1	-3.6			-3.0	-2.9	-2.9	-2.8	-2.7	-2.6		-2.2	-1.1	
of which: contribution from average real interest rate	0.9	0.2	0.0			0.1	0.2	0.1	0.1	0.2	0.3		0.5	1.1	
of which: contribution from real GDP growth	-2.8	-3.4	-3.7			-3.1	-3.1	-3.0	-3.0	-2.9	-2.9		-2.7	-2.2	
Contribution from real exchange rate depreciation	-1.3	3.7	1.3			-0.6	-0.2	-0.2	-0.2	-0.2	0.0		...	...	
Other identified debt-creating flows	-1.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	-1.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	1.4	-4.2	-6.0			0.4	0.5	0.4	0.0	0.0	0.0		0.0	0.1	
Other Sustainability Indicators															
PV of public sector debt	...	...	33.9			34.0	34.4	34.8	35.0	35.0	35.0		34.9	33.9	
of which: foreign-currency denominated	...	...	13.4			12.9	13.1	13.0	12.9	12.8	12.9		12.5	15.4	
of which: external	...	...	13.4			12.9	13.1	13.0	12.9	12.8	12.9		12.5	15.4	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 3/	6.7	3.1	3.2			6.2	6.5	6.8	7.0	6.9	6.8		6.4	5.3	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	136.8			140.3	143.5	147.0	146.6	144.9	143.2		140.4	130.4	
PV of public sector debt-to-revenue ratio (in percent)	...	...	138.0			142.9	145.6	149.5	149.7	148.6	146.8		143.2	133.0	
of which: external 4/	...	...	54.4			54.1	55.5	55.8	55.4	54.5	54.0		51.4	60.5	
Debt service-to-revenue and grants ratio (in percent) 5/	32.3	10.4	11.8			12.3	13.5	14.0	14.8	15.6	16.0		15.3	14.3	
Debt service-to-revenue ratio (in percent) 5/	32.3	10.5	11.9			12.6	13.7	14.2	15.1	16.0	16.4		15.6	14.5	
Primary deficit that stabilizes the debt-to-GDP ratio	2.8	3.6	8.3			3.2	2.6	2.7	3.0	2.9	2.6		2.2	1.5	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	5.9	7.3	8.3	8.8	3.9	8.5	8.5	8.2	8.0	7.7	7.6	8.1	7.0	5.5	6.6
Average nominal interest rate on forex debt (in percent)	4.0	0.6	1.6	1.8	0.9	2.0	2.0	2.0	2.0	2.0	1.9	2.0	1.7	1.6	1.6
Average real interest rate on domestic debt (in percent)	2.8	2.3	0.4	-4.5	7.2	0.3	0.6	0.4	0.6	1.0	1.2	0.7	2.7	4.2	3.2
Real exchange rate depreciation (in percent, + indicates depreciation)	-4.7	15.2	5.7	-4.2	14.1	-3.2	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	2.8	2.8	5.7	10.6	8.2	6.6	6.3	6.6	6.3	6.1	5.8	6.3	4.6	3.0	4.0
Growth of real primary spending (deflated by GDP deflator, in percent)	0.2	75.3	13.2	9.0	23.7	18.6	7.9	8.0	8.6	8.0	7.8	9.8	7.0	5.5	6.6
Grant element of new external borrowing (in percent)	...	...	...	...	...	33.1	33.9	36.9	38.2	39.5	40.7	37.0	41.6	39.1	...

Sources: Country authorities; and staff estimates and projections.

1/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

2/ Indicate coverage of public sector, e.g., general government or nonfinancial public sector. Also whether net or gross debt is used.

3/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

4/ Revenues excluding grants.

5/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

Table 2b. Myanmar: Sensitivity Analysis for Key Indicators of Public Debt 2014/15–2034/35

	Projections							
	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2024/25	2034/35
PV of Debt-to-GDP Ratio								
Baseline	34	34	35	35	35	35	35	34
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	34	34	33	32	32	31	29	26
A2. Primary balance is unchanged from 2014	34	34	35	35	35	35	36	40
A3. Permanently lower GDP growth 1/	34	35	36	37	37	38	44	63
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2015–2016	34	36	39	40	41	42	45	50
B2. Primary balance is at historical average minus one standard deviations in 2015–2016	34	34	35	35	35	35	35	34
B3. Combination of B1–B2 using one half standard deviation shocks	34	35	35	36	36	37	39	40
B4. One-time 30 percent real depreciation in 2015	34	40	39	39	38	38	36	33
B5. 10 percent of GDP increase in other debt-creating flows in 2015	34	42	42	41	40	40	38	36
PV of Debt-to-Revenue Ratio 2/								
Baseline	140	143	147	147	145	143	140	130
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	140	140	140	136	131	127	116	100
A2. Primary balance is unchanged from 2014	140	143	146	145	143	142	145	155
A3. Permanently lower GDP growth 1/	140	145	151	153	155	156	177	240
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2015–2016	140	151	164	168	169	171	182	191
B2. Primary balance is at historical average minus one standard deviations in 2015–2016	140	144	147	147	145	143	140	130
B3. Combination of B1–B2 using one half standard deviation shocks	140	144	148	150	150	150	155	155
B4. One-time 30 percent real depreciation in 2015	140	165	165	162	158	155	145	127
B5. 10 percent of GDP increase in other debt-creating flows in 2015	140	174	175	170	166	163	154	138
Debt Service-to-Revenue Ratio 2/								
Baseline	12	14	14	15	16	16	15	14
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	12	14	14	13	14	14	13	11
A2. Primary balance is unchanged from 2014	12	14	14	15	15	16	16	17
A3. Permanently lower GDP growth 1/	12	14	14	15	17	17	19	26
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2015–2016	12	14	15	17	19	19	20	20
B2. Primary balance is at historical average minus one standard deviations in 2015–2016	12	14	14	15	16	16	15	14
B3. Combination of B1–B2 using one half standard deviation shocks	12	14	14	15	15	17	17	17
B4. One-time 30 percent real depreciation in 2015	12	14	16	17	18	18	18	18
B5. 10 percent of GDP increase in other debt-creating flows in 2015	12	14	15	25	17	19	16	15

Sources: Country authorities; and staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.
2/ Revenues are defined inclusive of grants.